

FINANCE COMMISSION

FISCAL-FEDERAL PROBLEM AND THE — ARTICLE 280 INSTITUTION: CONSTITUTION — DIVISIBLE POOL, VERTICAL SHARE — GRANTS-IN-AID, ARTICLE 282 AND — PANCHAYAT, MUNICIPALITY AND STATE — FOURTEENTH, FIFTEENTH AND SIXTEENTH

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

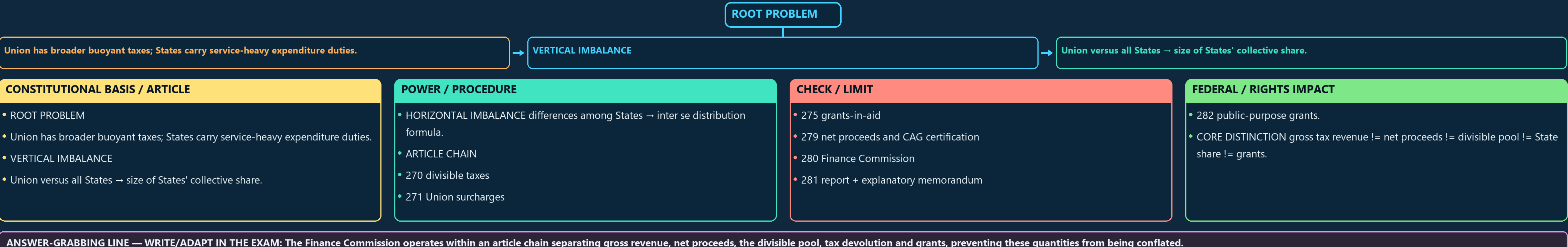
PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE Pending user review active generation g2 repaired in place for answer-line and visual-boundary quality all prior artifacts unchanged

CORE BEFORE EXTRA prior artefacts unchanged exact same master drives poster and tiles

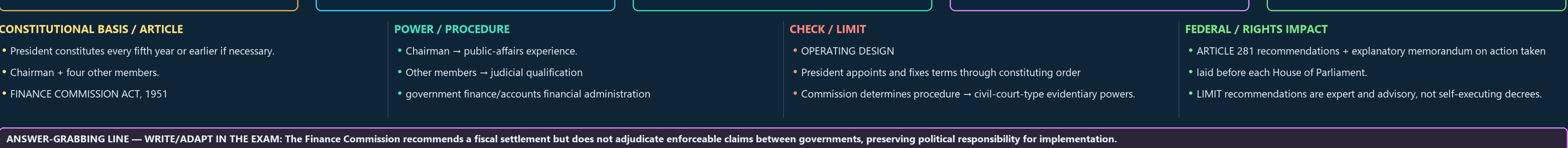
STAGE 00 FISCAL-FEDERAL PROBLEM AND THE ARTICLES 270-282 CONSTITUTIONAL CHAIN

FISCAL-FEDERAL PROBLEM AND THE ARTICLES 270-282 CONSTITUTIONAL CHAIN ROOT PROBLEM UNION HAS BROADER BUOYANT TAXES; STATES CARRY SERVICE-HEAVY EXPENDITURE VERTICAL IMBALANCE UNION VERSUS ALL STATES SIZE OF STATES' COLLECTIVE SHARE HORIZONTAL IMBALANCE DIFFERENCES AMONG STATES INTER SE DISTRIBUTION FORMULA



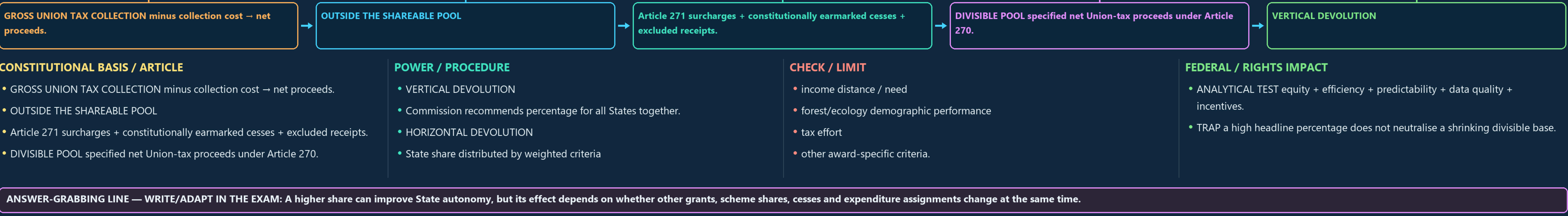
STAGE 01 ARTICLE 280 INSTITUTION: CONSTITUTION, QUALIFICATIONS, PROCEDURE AND REPORT

ARTICLE 280 INSTITUTION CONSTITUTION, QUALIFICATIONS, PROCEDURE AND REPORT PRESIDENT CONSTITUTES EVERY FIFTH YEAR OR EARLIER IF NECESSARY. CHAIRMAN + FOUR OTHER MEMBERS FINANCE COMMISSION ACT, 1951 PUBLIC-AFFAIRS EXPERIENCE. OTHER MEMBERS JUDICIAL QUALIFICATION



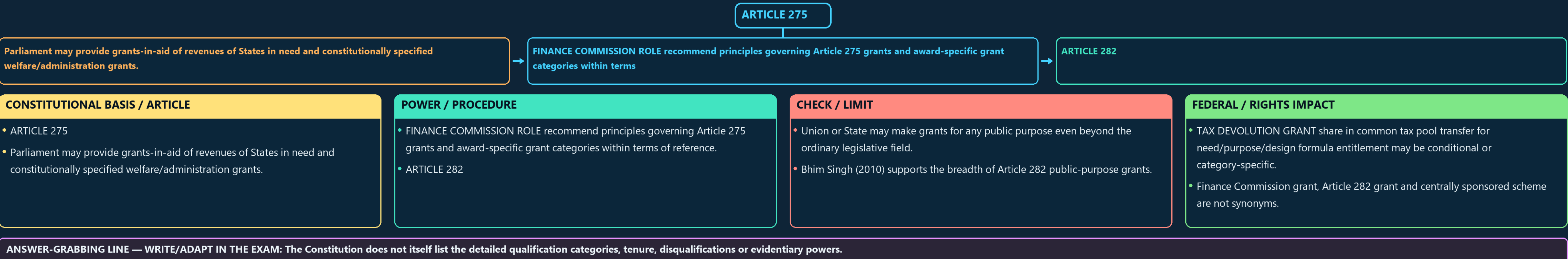
STAGE 02 DIVISIBLE POOL, VERTICAL SHARE AND HORIZONTAL DEVOLUTION FORMULA

DIVISIBLE POOL, VERTICAL SHARE AND HORIZONTAL DEVOLUTION FORMULA GROSS UNION TAX COLLECTION MINUS COLLECTION COST NET PROCEEDS. OUTSIDE THE SHAREABLE POOL ARTICLE 271 SURCHARGES + CONSTITUTIONALLY EARMARKED CESSSES + EXCLUDED DIVISIBLE POOL SPECIFIED NET UNION-TAX PROCEEDS UNDER ARTICLE 270. VERTICAL DEVOLUTION COMMISSION RECOMMENDS PERCENTAGE FOR ALL STATES TOGETHER.



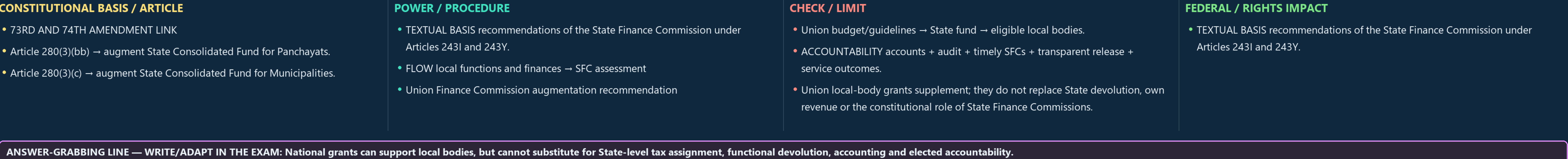
STAGE 03 GRANTS-IN-AID, ARTICLE 282 AND THE TAX-VERSUS-GRANT DISTINCTION

GRANTS-IN-AID, ARTICLE 282 AND THE TAX-VERSUS-GRANT DISTINCTION ARTICLE 275 PARLIAMENT MAY PROVIDE GRANTS-IN-AID OF REVENUES OF STATES IN FINANCE COMMISSION ROLE RECOMMEND PRINCIPLES GOVERNING ARTICLE 275 GRANTS ARTICLE 282 UNION OR STATE MAY MAKE GRANTS FOR ANY PUBLIC BHIM SINGH (2010) SUPPORTS THE BREADTH OF ARTICLE 282 TAX DEVOLUTION GRANT SHARE IN COMMON TAX POOL TRANSFER



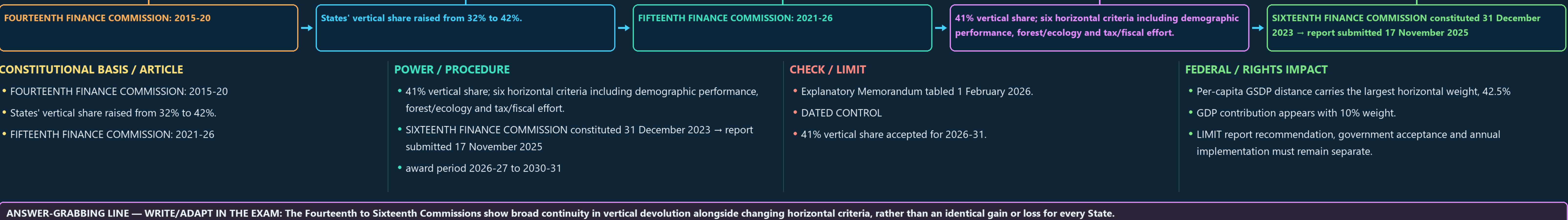
STAGE 04 PANCHAYAT, MUNICIPALITY AND STATE FINANCE COMMISSION AUGMENTATION CHAIN

PANCHAYAT, MUNICIPALITY AND STATE FINANCE COMMISSION AUGMENTATION CHAIN 73RD AND 74TH AMENDMENT LINK ARTICLE 280(3)(BB) AUGMENT STATE CONSOLIDATED FUND FOR PANCHAYATS. ARTICLE 280(3)(C) AUGMENT STATE CONSOLIDATED FUND FOR MUNICIPALITIES. TEXTUAL BASIS RECOMMENDATIONS OF THE STATE FINANCE COMMISSION UNDER FLOW LOCAL FUNCTIONS AND FINANCES



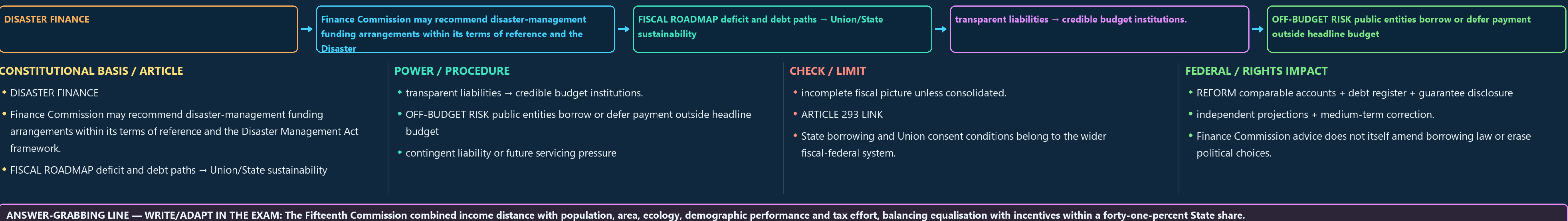
STAGE 05 FOURTEENTH, FIFTEENTH AND SIXTEENTH FINANCE COMMISSION TRAJECTORY

FOURTEENTH, FIFTEENTH AND SIXTEENTH FINANCE COMMISSION TRAJECTORY FOURTEENTH FINANCE COMMISSION STATES' VERTICAL SHARE RAISED FROM 32% TO 42%. FIFTEENTH FINANCE COMMISSION 41% VERTICAL SHARE; SIX HORIZONTAL CRITERIA INCLUDING DEMOGRAPHIC PERFORMANCE SIXTEENTH FINANCE COMMISSION CONSTITUTED 31 DECEMBER 2023 REPORT SUBMITTED 17 NOVEMBER 2025 AWARD PERIOD 2026-27 TO 2030-31



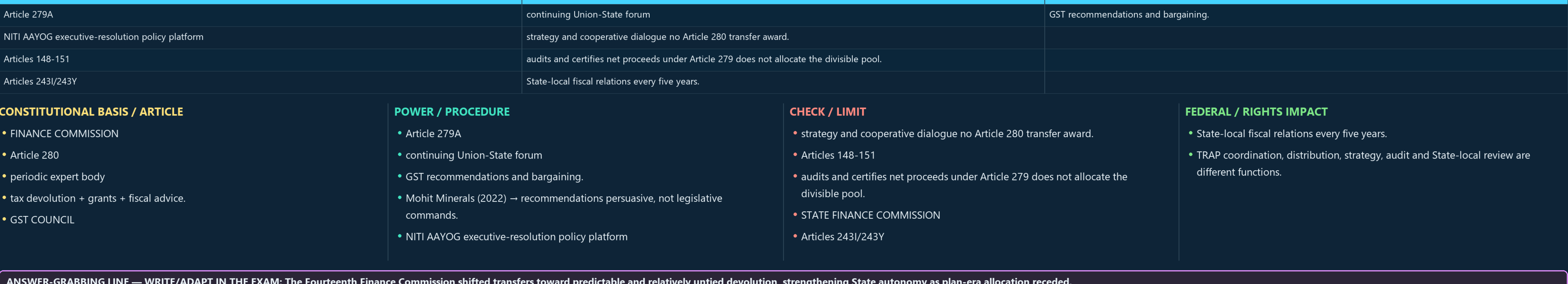
STAGE 06 DISASTER FINANCE, DEBT, BORROWING AND WHOLE-GOVERNMENT FISCAL RISK

DISASTER FINANCE, DEBT, BORROWING AND WHOLE-GOVERNMENT FISCAL RISK DISASTER FINANCE FINANCE COMMISSION MAY RECOMMEND DISASTER-MANAGEMENT FUNDING ARRANGEMENTS WITHIN ITS FISCAL ROADMAP DEFICIT AND DEBT PATHS UNION/STATE SUSTAINABILITY TRANSPARENT LIABILITIES CREDIBLE BUDGET INSTITUTIONS. OFF-BUDGET RISK PUBLIC ENTITIES BORROW OR DEFER PAYMENT OUTSIDE



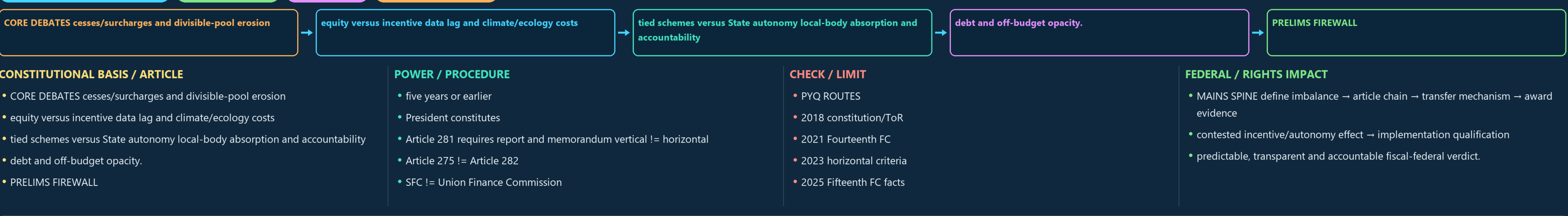
STAGE 07 FINANCE COMMISSION COMPARED WITH GST COUNCIL, NITI AAYOG, CAG AND SFC

FINANCE COMMISSION COMPARED WITH GST COUNCIL, NITI AAYOG, CAG FINANCE COMMISSION ARTICLE 280 PERIODIC EXPERT BODY TAX DEVOLUTION + GRANTS + FISCAL ADVICE. GST COUNCIL ARTICLE 279A CONTINUING UNION-STATE FORUM



STAGE 08 FISCAL-FEDERAL DEBATES, PYQ ROUTES, TRAPS AND FINAL ANSWER SPINE

FISCAL-FEDERAL DEBATES, PYQ ROUTES, TRAPS AND FINAL ANSWER SPINE CORE DEBATES CESSSES/SURCHARGES AND DIVISIBLE-POOL EROSION EQUITY VERSUS INCENTIVE DATA LAG AND CLIMATE/ECOLOGY COSTS TIED SCHEMES VERSUS STATE AUTONOMY LOCAL-BODY ABSORPTION AND ACCOUNTABILITY DEBT AND OFF-BUDGET OPACITY. PRELIMS FIREWALL CHAIR + FOUR FIVE YEARS OR EARLIER



E SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT PART A — CONSTITUTION & COMPOSITION (ART 280) PART B — FUNCTIONS PART C — ADVISORY ROLE & FISCAL FEDERALISM PART D — 16TH FINANCE COMMISSION (CURRENT) RECOMMENDATIONS ARE ADVISORY, NOT BINDING — BUT (DR. P.V.) TILL 2014 THE FC'S ROLE WAS UNDERMINED BY THE "NET PROCEEDS"

